

OE-EC804C — Organizational Behavior

Module 3: Leadership and Group Dynamics

Target Audience: MAKAUT B.Tech ECE 8th Semester | Compiled by Biraj Sarkar (CGEC)

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1 Leadership: Concepts and Theories

Leadership is the process of influencing, motivating, and directing followers toward the achievement of organizational vision and objectives.

Definition of Leadership

Leadership is the ability to influence a group toward the achievement of a vision or set of goals (Stephen P. Robbins).

1.1 Distinction: Manager vs. Leader

Dimension	Manager	Leader
Source of Power	Formal positional authority granted by organization.	Personal influence, charisma, and follower trust.
Primary Orientation	Planning, budgeting, organizing, controlling, stability.	Setting vision, aligning people, inspiring, driving change.
Focus	Systems, structures, processes, efficiency.	People, relationships, values, culture.
Time Horizon	Short-term to medium-term operational targets.	Long-term strategic vision.

1.2 Major Theories of Leadership

1. **Trait Theory (Great Man Theory):** Assumes leaders possess inherent physical, intellectual, and personality traits (intelligence, self-confidence, integrity, drive, emotional maturity).
2. **Behavioral Theories:** Focuses on specific observable behaviors rather than traits.
 - *Ohio State Studies:* Identified two dimensions — **Initiating Structure** (task-oriented) and **Consideration** (people-oriented).
 - *Michigan Studies:* Identified **Production-Oriented** vs. **Employee-Oriented** leadership behaviors.
 - *Blake-Mouton Managerial Grid:* 9x9 matrix plotting **Concern for Production** vs. **Concern for People**.
3. **Contingency / Situational Theories:** Effective leadership depends on matching leadership style to situational variables (Fiedler's Contingency Model, Hersey-Blanchard Situational Leadership).

1.3 Blake-Mouton Managerial Grid Styles

- **Impoverished Management (1,1):** Low production, low people concern (minimal effort).
- **Country Club Management (1,9):** High people concern, low production concern (friendly atmosphere, low output).
- **Task / Authority Management (9,1):** High production concern, low people concern (autocratic efficiency).
- **Middle-of-the-Road Management (5,5):** Balanced, adequate performance.
- **Team Management (9,9):** High production, high people concern (**Optimal style**).

2 Leadership Styles and Indian Corporate Context

2.1 Classical Leadership Styles

- **Autocratic (Authoritarian):** Centralized decision-making; top-down commands without subordinate participation. Effective in emergency/crisis situations.
- **Democratic (Participative):** Decentralized decision-making; subordinate participation encouraged. Fosters commitment and high morale.
- **Laissez-Faire (Free-Rein):** Complete freedom granted to subordinates; leader acts as passive resource provider. Effective only with highly skilled experts.

2.2 Transformational vs. Transactional Leadership

Feature	Transactional Leadership	Transformational Leadership
Core Mechanism	Exchange process (rewards for compliance, punishment for failure).	Inspires followers to transcend self-interest for organizational vision.
Focus	Maintaining current operations & status quo.	Driving organizational change, innovation, & renewal.
Key Components	Contingent Reward, Management by Exception (Active/Passive).	Idealized Influence, Inspirational Motivation, Intellectual Stimulation.
Impact	Expected standard performance.	Performance beyond expectations.

2.3 Leadership in Indian Organizations

Indian corporate leadership is uniquely characterized by:

- **Paternalistic Approach:** Combining firm authority with nurturance, family-like care, and guidance.
- High respect for age, seniority, and organizational hierarchy.
- Rapid transition toward participative, transformational leadership in technology and global enterprise sectors.

3 Group Dynamics and Stages of Development

A **Group** consists of two or more interacting individuals who come together to achieve particular objectives.

Concept of Group Dynamics

Group Dynamics refers to the complex social forces, interactions, processes, and behavioral patterns operating within and between human groups.

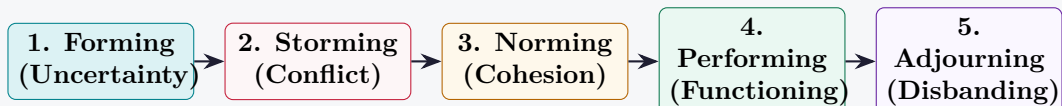
3.1 Types of Groups

- **Formal Groups:** Created by management (Command Groups, Task Forces, Committees).
- **Informal Groups:** Spontaneously formed by members (Interest Groups, Friendship Groups).

3.2 Tuckman's 5 Stages of Group Development

Groups evolve through five sequential stages during their lifecycle:

Tuckman's 5 Stages of Group Development



1. **Forming:** Initial orientation, high uncertainty, testing boundaries and group purpose.
2. **Storming:** Intra-group conflict, power struggles, resistance to group constraints.
3. **Norming:** Close relationships develop, strong group identity, consensus on norms.
4. **Performing:** Group structure becomes fully functional and accepted; focus shifts to task execution.
5. **Adjourning:** Disbanding after goal completion (for temporary task groups).

3.3 Group Behavior: Norms, Cohesiveness, and Roles

Understanding group behavior requires analyzing three fundamental properties:

1. **Group Norms:** Acceptable standards of behavior shared by group members (performance norms, appearance norms, social arrangement norms).
2. **Group Cohesiveness:** The degree to which group members are attracted to each other and motivated to stay in the group.
 - *High Cohesiveness + High Performance Norms:* Results in **highest productivity**.
 - *High Cohesiveness + Low Performance Norms:* Results in **low productivity** (group restricts output).
3. **Group Conformity & Asch Effect:** The tendency for members to align their perceptions, opinions, and behaviors with group norms due to social pressure.

4 Group Decision Making: Techniques, Merits, and Demerits

4.1 Techniques to Improve Group Decision Making

1. **Brainstorming:** Idea-generation process encouraging free thinking without criticism.
2. **Nominal Group Technique (NGT):** Structured meeting where members write ideas independently before silent voting to prioritize solutions.
3. **Delphi Technique:** Systematic decision process collecting anonymous expert opinions via sequential questionnaires without physical meeting.
4. **Electronic Meetings:** Combining NGT with computer networking for anonymous real-time voting.

4.2 Merits and Demerits of Group Decision Making

Merits / Advantages	Demerits / Disadvantages
Complete Information & Knowledge: Aggregates diverse expertise, skills, and perspectives.	Time-Consuming: Takes longer to schedule, discuss, and reach consensus compared to individual decisions.
Increased Acceptance: Participants feel ownership, leading to smoother implementation.	Groupthink: Conformity pressure suppresses critical, divergent thinking.
Diversity of Views: Generates more alternatives and creative solutions.	Domination by Few: Vocal or influential members can dominate discussions.
Legitimacy: Democratic consensus decisions are perceived as more legitimate.	Ambiguous Responsibility: Shared accountability dilutes individual responsibility.

Quick Revision — Module 3

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Key Concepts and Metrics at a Glance

Manager vs Leader	Positional authority/control (Manager) vs. Personal influence/vision (Leader).
Managerial Grid	Blake-Mouton 9x9 grid (Optimal style: 9,9 Team Management).
Tuckman's 5 Stages	Forming → Storming → Norming → Performing → Adjourning.
Groupthink	Phenomenon where pressure for conformity overrides critical appraisal of alternatives.
Delphi Technique	Decision-making technique using anonymous expert questionnaires.

One-Line Definitions for Exam Revision

- **Transformational Leadership:** Style inspiring followers to transcend self-interest for strategic organizational vision.
- **Group Dynamics:** The social interactions and behavioral forces operating within human groups.
- **Nominal Group Technique:** Structured group decision method restricting discussion during initial idea generation.
- **Groupthink:** Deterioration of mental efficiency and moral judgment resulting from in-group pressures.

Frequently Asked / Viva Questions

- 1. Define Leadership. How does a Leader differ from a Manager?**
Leadership is the ability to influence a group toward achieving a vision. Managers rely on formal authority for stability; Leaders rely on personal influence to drive change.
- 2. Explain Blake-Mouton's Managerial Grid. Which position represents optimal leadership?**
The grid plots Concern for Production vs. Concern for People on a 9x9 scale. Position (9,9) Team Management is the optimal style.
- 3. Differentiate between Transactional and Transformational Leadership.**
Transactional leadership relies on contingent exchanges and rewards; Transformational leadership inspires followers to innovate and achieve visionary goals.
- 4. Trace Tuckman's 5 stages of group development.**
Forming (orientation) → Storming (conflict) → Norming (cohesion) → Performing (functioning) → Adjourning (disbanding).
- 5. What is Group Dynamics?**
The social forces, interactions, processes, and behavioral patterns operating within and between human groups.
- 6. What is Groupthink? How can it be prevented?**

Frequently Asked / Viva Questions (contd.)

Groupthink is the pressure for conformity suppressing critical dissent. It can be prevented by assigning a devil's advocate and encouraging open feedback.

7. Explain the Delphi Technique of decision making.

A systematic decision method collecting anonymous opinions from distributed experts via sequential questionnaires without physical meetings.

8. What are the major advantages of group decision making over individual decision making?

Groups provide more complete information, diverse perspectives, creative alternatives, and higher implementation acceptance.

9. What is a Laissez-Faire leadership style? When is it effective?

A free-rein style granting complete operational freedom to subordinates. Effective only with highly expert, self-motivated professionals.

10. Describe the characteristic style of leadership in Indian corporate organizations.

Paternalistic leadership, which combines firm administrative authority with family-like personal care and nurturance.